APPRAISAL REPORT

Cedar Whitaker Rental Homes | Naperville, IL

Subject Property	Cedar Whitaker Rental Homes
Address	7790 Peachtree Drive, Naperville, IL 95358
Property Rights Appraised	Fee Simple
Effective Date of Value	February 18, 2021
Market Value Conclusion	$41,350,000

Submarket Analysis

Turn costs average $35,000 per home, and the in-house maintenance team handles most work orders within 9 days. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. Homes average 1,701 square feet with average monthly rent of $1,845. Market vacancy for comparable Single-Family Rental product stands at 2.6%, down from 7.3% two years ago.

Cedar Whitaker Rental Homes is located in Naperville, IL, a market that has recorded 11.9% population growth over the last five years. Rent growth in the submarket has averaged 6.9% annually over the past 3 years. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 8-mile radius of the property is approximately $294,000 and has grown 4.9% annually.

Access and Utilities

Access to the site is provided by 13 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 39.39 acres and is generally level with frontage along Peachtree Drive. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Access to the site is provided by 48 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 47.47 acres and is generally level with frontage along Peachtree Drive. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Demographics and Employment

Market vacancy for comparable Single-Family Rental product stands at 9.4%, down from 5.6% two years ago. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Investor demand for Single-Family Rental assets in Naperville remains strong with recent trades at capitalization rates between 7.10% and 7.10%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

The Naperville Single-Family Rental market has experienced absorption of 900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 5-mile radius of the property is approximately $233,000 and has grown 8.4% annually. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,701 square feet with average monthly rent of $1,845.

Access and Utilities

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Submarket Analysis

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $31,000 per home, and the in-house maintenance team handles most work orders within 19 days. Rent growth in the submarket has averaged 3.6% annually over the past 7 years. Market vacancy for comparable Single-Family Rental product stands at 5.8%, down from 5.4% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors.

Turn costs average $470,000 per home, and the in-house maintenance team handles most work orders within 21 days. Investor demand for Single-Family Rental assets in Naperville remains strong with recent trades at capitalization rates between 7.26% and 7.26%. Employment growth is led by healthcare, logistics, education and professional services sectors. Cedar Whitaker Rental Homes is located in Naperville, IL, a market that has recorded 3.5% population growth over the last five years.

Access and Utilities

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 20 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 19.19 acres and is generally level with frontage along Peachtree Drive. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 4 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 20.20 acres and is generally level with frontage along Peachtree Drive. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Supply and Demand

Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 3-mile radius of the property is approximately $97,000 and has grown 2.4% annually. Investor demand for Single-Family Rental assets in Naperville remains strong with recent trades at capitalization rates between 7.50% and 7.50%. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $146,000 per home, and the in-house maintenance team handles most work orders within 3 days. The Naperville Single-Family Rental market has experienced absorption of 1000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Investor demand for Single-Family Rental assets in Naperville remains strong with recent trades at capitalization rates between 6.01% and 6.01%. Turn costs average $79,000 per home, and the in-house maintenance team handles most work orders within 48 days. Homes average 1,701 square feet with average monthly rent of $1,845. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The Naperville Single-Family Rental market has experienced absorption of 600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Access and Utilities

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 20.20 acres and is generally level with frontage along Peachtree Drive. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Demographics and Employment

Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Single-Family Rental assets in Naperville remains strong with recent trades at capitalization rates between 6.82% and 6.82%. Market vacancy for comparable Single-Family Rental product stands at 8.2%, down from 4.6% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

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Construction Details

Homes average 1,701 square feet with average monthly rent of $1,845. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

The roof is a 29-year membrane system with an estimated remaining useful life of 5 years. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Homes average 1,701 square feet with average monthly rent of $1,845. Common area interiors have been refreshed within the last 9 years and are in average to good condition.

Construction Details

The roof is a 16-year membrane system with an estimated remaining useful life of 3 years. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,701 square feet with average monthly rent of $1,845. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age.

Homes average 1,701 square feet with average monthly rent of $1,845. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 33-year membrane system with an estimated remaining useful life of 10 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Construction Details

Cedar Whitaker Rental Homes was originally constructed in 1981 and consists of 173 homes in a building of 46 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Turn costs average $53,000 per home, and the in-house maintenance team handles most work orders within 7 days. Common area interiors have been refreshed within the last 12 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

Common area interiors have been refreshed within the last 5 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 31-year membrane system with an estimated remaining useful life of 10 years. Turn costs average $316,000 per home, and the in-house maintenance team handles most work orders within 9 days.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Onyx Homes	San Antonio, TX	03/02/2022	149	$20,272,696	$117,183	5.85%	2000
Northgate Homes	Denver, CO	07/06/2023	176	$53,625,618	$309,975	7.64%	1974
Redwood Homes	Birmingham, AL	10/14/2023	188	$22,977,723	$132,819	5.28%	2023
Parkview Cottages	Louisville, KY	04/01/2022	218	$35,542,689	$205,449	6.82%	1968
Tidewater Cottages	Aurora, CO	05/27/2026	172	$45,842,959	$264,988	7.15%	2007
Gatewood Cottages	Albany, NY	04/14/2025	102	$31,864,614	$184,189	7.37%	1994
Raven Rental Homes	Denver, CO	09/15/2023	231	$55,520,171	$320,926	7.83%	1989
Northgate Homes	Albuquerque, NM	03/25/2022	89	$52,206,014	$301,769	6.83%	2009
Union Rental Homes	Buffalo, NY	04/13/2023	156	$25,279,277	$146,123	8.10%	1980
Keystone Homes	Oklahoma City, OK	05/20/2025	190	$43,473,883	$251,294	7.28%	2016
Fairmont Cottages	Riverside, CA	09/20/2022	95	$34,537,327	$199,638	7.26%	2011
Everett Cottages	Dallas, TX	07/15/2024	92	$40,231,609	$232,553	5.91%	1997
Eastlake Rental Homes	Tempe, AZ	07/12/2025	215	$44,326,170	$256,221	7.83%	1986
Driftwood Homes	Tampa, FL	03/30/2025	255	$57,873,386	$334,528	6.32%	1978
Mesa Rental Homes	Columbus, OH	04/03/2025	92	$37,673,022	$217,763	7.53%	2013
Riverbend Cottages	Madison, WI	10/21/2025	102	$19,831,649	$114,634	5.96%	1985
Parkview Homes	New Orleans, LA	07/27/2022	88	$51,267,168	$296,342	8.07%	2013
Magnolia Rental Homes	Dallas, TX	03/22/2025	244	$18,287,382	$105,707	7.37%	1966
Magnolia Cottages	Jacksonville, FL	12/05/2022	198	$46,407,391	$268,251	5.57%	1989
Bayview Cottages	Savannah, GA	08/02/2024	173	$27,035,538	$156,275	6.33%	2006
Oakmont Homes	Riverside, CA	03/31/2022	208	$25,351,993	$146,543	6.48%	2003
Kestrel Homes	Tampa, FL	09/03/2022	197	$44,160,254	$255,262	8.01%	1979
Driftwood Rental Homes	Allentown, PA	01/23/2023	144	$41,805,818	$241,652	7.46%	1999
Kingsley Cottages	Baltimore, MD	03/29/2022	113	$19,199,432	$110,979	6.99%	1988
Harbor Rental Homes	Detroit, MI	03/21/2024	140	$29,460,071	$170,289	5.97%	2008
Harbor Rental Homes	Tempe, AZ	09/05/2023	121	$53,142,996	$307,185	5.98%	2005
Canyon Homes	Nashville, TN	05/19/2022	218	$16,688,402	$96,465	5.63%	1977
Onyx Homes	Tempe, AZ	04/25/2026	121	$31,751,768	$183,536	6.75%	1992
Birchwood Rental Homes	Riverside, CA	07/21/2023	104	$31,453,097	$181,810	5.47%	1988
Hollis Cottages	Charlotte, NC	02/02/2022	243	$41,879,997	$242,081	6.82%	2007
Gatewood Rental Homes	Tempe, AZ	08/14/2025	142	$50,670,164	$292,891	6.58%	1971
Sable Homes	Salt Lake City, UT	02/23/2022	152	$55,838,450	$322,766	7.75%	1966
Quarry Cottages	Birmingham, AL	07/29/2023	213	$28,598,105	$165,307	6.06%	2010
Saddlebrook Rental Homes	Houston, TX	03/22/2023	163	$53,776,671	$310,848	5.97%	1972
Keystone Cottages	Richmond, VA	02/10/2022	215	$18,446,212	$106,626	8.06%	2019
Yarrow Homes	Orlando, FL	07/29/2024	148	$57,835,335	$334,308	5.07%	2006
Glenview Rental Homes	Portland, OR	03/08/2026	125	$22,433,485	$129,673	6.54%	1988
Birchwood Rental Homes	Houston, TX	05/19/2022	247	$57,390,301	$331,736	8.00%	1984
Lakeshore Rental Homes	Tampa, FL	06/24/2022	177	$42,419,878	$245,202	6.41%	2000
Nautilus Homes	Detroit, MI	10/10/2025	154	$16,957,376	$98,020	5.89%	1970
Indigo Rental Homes	Chicago, IL	04/08/2026	146	$39,120,983	$226,133	7.36%	1966

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Operating Performance

Turn costs average $362,000 per home, and the in-house maintenance team handles most work orders within 18 days. The going-in capitalization rate of 6.34% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. Effective gross income for the trailing period was $269,000, representing a 7.5% increase over the prior year.

The going-in capitalization rate of 5.09% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $190,000, representing a 9.8% increase over the prior year. Homes average 1,701 square feet with average monthly rent of $1,845. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The going-in capitalization rate of 6.22% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.20x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $36,000, representing a 2.6% increase over the prior year.

Effective gross income for the trailing period was $288,000, representing a 5.6% increase over the prior year. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Homes average 1,701 square feet with average monthly rent of $1,845. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. Effective gross income for the trailing period was $157,000, representing a 7.5% increase over the prior year. Homes average 1,701 square feet with average monthly rent of $1,845. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Turn costs average $332,000 per home, and the in-house maintenance team handles most work orders within 18 days.

Turn costs average $42,000 per home, and the in-house maintenance team handles most work orders within 28 days. The going-in capitalization rate of 6.21% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Debt service coverage ratio was 6.70x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Jasper Cottages	0.8 mi	2004	Unit	$1,737.61	96.2%	None
Granite Homes	4.2 mi	1988	1BR	$1,979.65	86.6%	None
Quarry Cottages	3.2 mi	1981	Bay	$1,742.01	89.8%	None
Calloway Rental Homes	4.1 mi	2001	2BR	$1,886.30	97.1%	1 mo. free
Whitaker Homes	1.9 mi	1996	Bay	$2,191.87	89.1%	1 mo. free
Willow Homes	1.2 mi	1996	2BR	$2,174.69	90.0%	1 mo. free
Amberly Rental Homes	1.4 mi	1994	Inline	$2,011.66	97.8%	1 mo. free
Tidewater Cottages	0.8 mi	1999	1BR	$1,783.19	87.6%	1 mo. free
Quincy Cottages	2.1 mi	2009	Inline	$2,015.39	87.2%	None
Mesa Rental Homes	2.9 mi	1987	2BR	$1,861.30	89.4%	1 mo. free
Elmhurst Cottages	3.0 mi	1975	Inline	$1,742.02	90.6%	$500
Whitaker Cottages	1.3 mi	2016	Inline	$2,184.78	86.7%	None
Redwood Homes	4.6 mi	2004	2BR	$2,059.17	95.5%	None
Juniper Cottages	4.4 mi	1970	Unit	$1,776.10	86.1%	1 mo. free
Foxglove Cottages	4.1 mi	1990	Suite	$2,147.05	96.0%	$500
Thornton Homes	2.6 mi	2018	Bay	$2,177.21	96.1%	None
Zephyr Cottages	2.8 mi	1980	Bay	$2,145.70	86.7%	None
Timberline Homes	5.0 mi	1977	Unit	$1,682.32	86.1%	None
Willow Cottages	2.6 mi	1995	Suite	$2,057.60	90.8%	None
Sterling Homes	0.7 mi	2023	Unit	$1,579.71	86.1%	$500
Lockwood Rental Homes	2.6 mi	2004	Suite	$1,911.38	87.6%	1 mo. free
Beacon Cottages	0.9 mi	2013	Unit	$1,834.07	95.3%	1 mo. free
Dover Rental Homes	4.4 mi	2009	2BR	$1,907.61	96.5%	None
Harbor Rental Homes	1.1 mi	1990	2BR	$2,073.17	93.0%	$500
Amberly Rental Homes	1.4 mi	2013	Inline	$2,132.03	93.4%	$500
Kingsley Cottages	2.3 mi	2017	Bay	$1,948.50	96.8%	None
Wexford Cottages	3.8 mi	1976	Inline	$1,918.56	92.1%	None
Meridian Rental Homes	5.0 mi	2005	2BR	$1,951.63	93.7%	1 mo. free
Brookside Cottages	1.6 mi	2017	Unit	$1,832.12	87.2%	1 mo. free
Copper Rental Homes	4.3 mi	2000	1BR	$2,076.72	88.6%	1 mo. free
Jasper Homes	3.9 mi	2011	1BR	$1,652.40	88.1%	None
Canyon Cottages	2.8 mi	1997	Studio	$1,720.66	92.6%	None
Canyon Rental Homes	2.8 mi	2008	Bay	$1,867.50	93.8%	None
Hawthorne Cottages	4.9 mi	2004	1BR	$2,203.23	92.3%	1 mo. free
Kingsley Cottages	1.1 mi	1987	1BR	$1,720.56	94.6%	None
Kingsley Cottages	0.6 mi	1981	Bay	$1,622.03	86.4%	None
Heritage Cottages	0.4 mi	2017	Unit	$2,169.95	96.9%	1 mo. free
Marlow Rental Homes	0.7 mi	1993	Inline	$1,664.34	93.2%	None
Calloway Rental Homes	1.6 mi	2004	Bay	$2,104.50	95.7%	None
Beacon Rental Homes	0.2 mi	1991	Suite	$1,878.73	95.3%	$500
Hollis Homes	0.3 mi	2006	Inline	$1,820.17	89.5%	None
Dunmore Cottages	0.8 mi	2008	2BR	$2,188.49	92.6%	1 mo. free

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Cedar Whitaker Rental Homes and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on January 19, 2021.

Maria Okafor, CPG

Stone & Marsh Appraisal

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